



AI industry update

Global Markets Research

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EQUITY: JAPAN ELECTRONIC PARTS

Moonshot AI releases Kimi K3

Takes first step in post-transformer world with open-source, large-scale coding model

Kimi K3: Groundbreaking innovation with hybrid architecture featuring Transformer and recurrent model

Moonshot AI's Kimi K3, released on 16 July, has become a hot topic as it has coding performance on par with that of cutting-edge AI lab models in the US. On top of this, its innovative hybrid model combines Transformer (multi-head latent attention; MLA) with a recurrent model (Kimi Delta Attention; KDA), and we were surprised by this. In terms of implications for the technology industry, we think the emergence of Kimi K3 provides fresh evidence of China's strong ability to develop AI models, as the cutting-edge agentic coding model has shaken up the dominant position of the US's closed models.

Achieves long-term reasoning by substantially reducing KV cache with a recurrent model using KDA

Kimi K3 is a mixture of experts (MoE) model with 2.8trn parameters. It is made up of 896 experts, and when carrying out inference, the router selects and activates 16 experts per token. The maximum context length is 1mn tokens, and the model is specialized for long-term agentic coding.

As noted above, the core of the model is a hybrid architecture that combines Transformer with a recurrent model. Based on the company's past announcements, we surmise that the attention architecture consists of four layers as one unit: three KDA layers and one MLA layer. While the Transformer model holds the keys and values of all tokens in the context window, and analyzes the necessary data based on the degree of similarity to the query, the recurrent model compresses and updates past data to a fixed-length state and carries out inference by referencing the state, thereby substantially reducing reliance on KV cache. It is well known that longer KV caches result in: (1) higher compute and memory access volumes during decoding, as well as increased inter-GPU communication loads for MoE models, resulting in higher compute costs; and (2) lower performance for long contexts and long-term reasoning as a result of attention being widely dispersed, making it difficult to focus on important information. To counter this, the use of KDA in Kimi K3 is aimed at achieving both computational efficiency and long-term reasoning performance by updating token-level data in a fixed-length state. We think Kimi K3 features an MLA layer in order to provide the ability to reference, from the KV cache, detailed token level data that cannot be stored in a fixed-length state, and precisely search and reference data even when it is stored far away.

As the recurrent model is not reliant on context length, it is a good match for autonomous learning models that carry out learning and inference while continuing to interact with the environment, and we had thought they could be adopted in cutting-edge models within the next two to three years. While Kimi K3 is a hybrid model, it came as a surprise to us that the company has able to implement a recurrent model in a large-scale cutting-edge model.

Industry impact: Positive over longer term, but we note risk of weakening fund flows in near term

We expect Kimi K3 to provide a new approach to AI model development and boost longer-term growth in the AI industry. That said, in the near term, fiercer competition could delay the monetization of closed models developed by AI labs in the US, and we think it is important to be aware of the risk that the flow of funds from AI labs to cloud operators to producers of electronic devices such as memory and storage could weaken.

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Margin transactions are subject to a sales commission of up to 1.43% (tax included) of the transaction amount (or a commission of ¥2,860 (tax included) for transactions of ¥200,000 or less), as well as management fees and rights handling fees. In addition, long margin transactions are subject to interest on the purchase amount, while short margin transactions are subject to fees for the lending of the shares borrowed. A margin equal to at least 30% of the transaction amount (at least 33% for online transactions) and at least ¥300,000 is required. With margin transactions, an amount up to roughly 3.3x the margin (roughly 3x for online transactions) may be traded. Margin transactions therefore carry the risk of losses in excess of the margin owing to share price fluctuations. For details, please thoroughly read the written materials provided, such as listed securities documents or documents delivered before making a contract.

Transactions involving convertible bonds are subject to a sales commission of up to 1.10% (tax included) of the transaction amount (or a commission of ¥4,400 (tax included) if this would be less than ¥4,400). When convertible bonds are purchased via OTC transactions (including offerings), only the purchase price shall be paid, with no sales commission charged. However, Nomura Securities may charge a separate fee for OTC transactions, as agreed with the customer. Convertible bonds carry the risk of losses owing to factors such as interest rate fluctuations and price fluctuations in the underlying stock. In addition, convertible bonds denominated in foreign currencies also carry the risk of losses owing to factors such as foreign exchange rate fluctuations.

When bonds are purchased via public offerings, secondary distributions, or other OTC transactions with Nomura Securities, only the purchase price shall be paid, with no sales commission charged. Bonds carry the risk of losses, as prices fluctuate in line with changes in market interest rates. Bond prices may also fall below the invested principal as a result of such factors as changes in the management and financial circumstances of the issuer, or changes in third-party valuations of the bond in question. In addition, foreign currency-denominated bonds also carry the risk of losses owing to factors such as foreign exchange rate fluctuations.

When Japanese government bonds (JGBs) for individual investors are purchased via public offerings, only the purchase price shall be paid, with no sales commission charged. As a rule, JGBs for individual investors may not be sold in the first 12 months after issuance. When JGBs for individual investors are sold before maturity, an amount calculated via the following formula will be subtracted from the par value of the bond plus accrued interest: (1) for 10-year variable rate bonds, an amount equal to the two preceding coupon payments (before tax) x 0.79685 will be used, (2) for 5-year and 3-year fixed rate bonds, an amount equal to the two preceding coupon payments (before tax) x 0.79685 will be used.

When inflation-indexed JGBs are purchased via public offerings, secondary distributions (uridashi deals), or other OTC transactions with Nomura Securities, only the purchase price shall be paid, with no sales commission charged. Inflation-indexed JGBs carry the risk of losses, as prices fluctuate in line with changes in market interest rates and fluctuations in the nationwide consumer price index. The notional principal of inflation-indexed JGBs changes in line with the rate of change in nationwide CPI inflation from the time of its issuance. The amount of the coupon payment is calculated by multiplying the coupon rate by the notional principal at the time of payment. The maturity value is the amount of the notional principal when the issue becomes due. For J17 and subsequent issues, the maturity value shall not undercut the face amount. Purchases of investment trusts (and sales of some investment trusts) are subject to a purchase or sales fee of up to 5.5% (tax included) of the transaction amount. Also, a direct cost that may be incurred when selling investment trusts is a fee of up to 2.0% of the unit price at the time of redemption. Indirect costs that may be incurred during the course of holding investment trusts include, for domestic investment trusts, an asset

management fee (trust fee) of up to 5.5% (tax included/annualized basis) of the net assets in trust, as well as fees based on investment performance. Other indirect costs may also be incurred. For foreign investment trusts, indirect fees may be incurred during the course of holding such as investment company compensation.

Investment trusts invest mainly in securities such as Japanese and foreign equities and bonds, whose prices fluctuate. Investment trust unit prices fluctuate owing to price fluctuations in the underlying assets and to foreign exchange rate fluctuations. As such, investment trusts carry the risk of losses. Fees and risks vary by investment trust. Maximum applicable fees are subject to change; please thoroughly read the written materials provided, such as prospectuses or documents delivered before making a contract.

In interest rate swap transactions and USD/JPY basis swap transactions ("interest rate swap transactions, etc."), only the agreed transaction payments shall be made on the settlement dates. Some interest rate swap transactions, etc. may require pledging of margin collateral. In some of these cases, transaction payments may exceed the amount of collateral. There shall be no advance notification of required collateral value or collateral ratios as they vary depending on the transaction. Interest rate swap transactions, etc. carry the risk of losses owing to fluctuations in market prices in the interest rate, currency and other markets, as well as reference indices. Losses incurred as such may exceed the value of margin collateral, in which case margin calls may be triggered. In the event that both parties agree to enter a replacement (or termination) transaction, the interest rates received (paid) under the new arrangement may differ from those in the original arrangement, even if terms other than the interest rates are identical to those in the original transaction. Risks vary by transaction. Please thoroughly read the written materials provided, such as documents delivered before making a contract and disclosure statements.

In OTC transactions of credit default swaps (CDS), no sales commission will be charged. When entering into CDS transactions, the protection buyer will be required to pledge or entrust an agreed amount of margin collateral. In some of these cases, the transaction payments may exceed the amount of margin collateral. There shall be no advance notification of required collateral value or collateral ratios as they vary depending on the financial position of the protection buyer. CDS transactions carry the risk of losses owing to changes in the credit position of some or all of the referenced entities, and/or fluctuations of the interest rate market. The amount the protection buyer receives in the event that the CDS is triggered by a credit event may undercut the total amount of premiums that he/she has paid in the course of the transaction. Similarly, the amount the protection seller pays in the event of a credit event may exceed the total amount of premiums that he/she has received in the transaction. All other conditions being equal, the amount of premiums that the protection buyer pays and that received by the protection seller shall differ. In principle, CDS transactions will be limited to financial instruments business operators and qualified institutional investors. Transfers of equities to another securities company via the Japan Securities Depository Center are subject to a transfer fee of up to ¥11,000 (tax included) per issue transferred depending on volume. No account fee will be charged for marketable securities or monies deposited.

Nomura Securities Co., Ltd.

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